

1 ENGROSSED SENATE AMENDMENT
TO
2 ENGROSSED HOUSE
BILL NO. 1371 By: Boles of the House
3
and
4
Green of the Senate
5
6
7 [oil and gas - payment of proceeds - Production
8 Revenue Standard Act - undeliverable - uncashed -
9 interest - effective date]
10
11
12 AUTHOR: Remove as principal House author Boles and substitute as
13 principal House author Moore. Retain Boles as House
coauthor
14 AUTHOR: Add the following House Coauthors: Sterling and West
(Tammy)
15
16 AUTHOR: Add the following Senate Coauthors: Mann, Stanley,
Seifried, Thompson, Haste, Coleman, Hall, Pugh, and Woods
17 AMENDMENT NO. 1. Page 1, strike the stricken title, enacting clause
and entire bill and insert
18
19 "An Act relating to oil and gas; amending 52 O.S.
20 2021, Section 570.10, which relates to the Production
Revenue Standards Act; modifying amount of interest
21 earned on certain proceeds; providing for cap of
certain earned interest; providing that certain
22 proceeds shall not earn interest; requiring
maintenance of certain records; authorizing
23 remittance of certain proceeds to certain fund;
requiring the Office of the State Treasurer to
24 establish and administer the Mineral Owner's Fund;
requiring certain written notice; authorizing

1 remittance as alternative to filing certain action;
2 relieving certain liability; authorizing deposit of
3 certain payments; clarifying certain claiming right;
4 requiring certain proof of identity and ownership;
5 requiring certain remittance within certain time
6 frame; clarifying obligation of payor; amending 52
7 O.S. 2021, Section 903, which relates to the Energy
8 Litigation Reform Act; modifying amount of interest
9 earned on certain proceeds; amending 60 O.S. 2021,
10 Section 658, which relates to the Uniform Unclaimed
11 Property Act; stating certain presumption of
12 abandonment; updating statutory language and
13 references; and providing an effective date.

14
15 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

16 SECTION 1. AMENDATORY 52 O.S. 2021, Section 570.10, is
17 amended to read as follows:

18 Section 570.10. A. All proceeds from the sale of production
19 shall be regarded as separate and distinct from all other funds of
20 any person receiving or holding the same until such time as such
21 proceeds are paid to the owners legally entitled thereto. Any
22 person holding revenue or proceeds from the sale of production shall
23 hold such revenue or proceeds for the benefit of the owners legally
24 entitled thereto. Nothing in this subsection shall create an
express trust.

B. Except as otherwise provided in this section:

1. Proceeds from the sale of oil or gas production from an oil
or gas well shall be paid to persons legally entitled thereto:

a. commencing not later than six (6) months after the
date of first sale, and

1 b. thereafter not later than the last day of the second
2 succeeding month after the end of the month within
3 which such production is sold.

4 2. Notwithstanding paragraph 1 of this subsection, royalty
5 proceeds from the sale of gas production from an oil or gas well
6 remitted to the operator pursuant to subsection B of Section 570.4
7 of this title shall be paid to persons legally entitled thereto:

8 a. commencing not later than six (6) months after the
9 date of first sale, and

10 b. thereafter not later than the last day of the third
11 succeeding month after the end of the month within
12 which such production is sold; provided, however, when
13 proceeds are received by the operator in its capacity
14 as a producing owner, the operator may pay the royalty
15 share of such proceeds to the royalty interest owners
16 legally entitled thereto at the same time that it pays
17 the royalty proceeds received from other producing
18 owners for the same production month, but not later
19 than the last day of the third succeeding month after
20 the end of the month within which such production was
21 sold.

22 3. a. Proceeds from production may be remitted to the
23 persons entitled to such proceeds annually for the
24 twelve (12) ~~months~~ months' accumulation of proceeds

1 totaling at least Ten Dollars (\$10.00) but less than
2 One Hundred Dollars (\$100.00). Amounts less than Ten
3 Dollars (\$10.00) may be held but shall be remitted
4 when production ceases or by the payor upon
5 relinquishment of payment responsibility.

6 b. Proceeds totaling less than One Hundred Dollars
7 (\$100.00) but more than Twenty-five Dollars (\$25.00)
8 shall be remitted monthly if requested by the person
9 entitled to the proceeds. Amounts less than Ten
10 Dollars (\$10.00) shall be remitted annually if
11 requested by the person entitled to the proceeds.

12 c. Before proceeds greater than Twenty-five Dollars
13 (\$25.00) may be accumulated, the payor shall provide
14 notice to the person owning interest, as defined in
15 Section 570.2 of this title, entitled to such proceeds
16 that there is an option to be paid monthly for
17 proceeds greater than Twenty-five Dollars (\$25.00).
18 Such notice to the person shall also provide
19 directions for requesting monthly payment, and
20 constitutes notice to all heirs, successors,
21 representatives, and assigns of the person.

22 4. Any delay in determining the persons legally entitled to
23 proceeds from production caused by unmarketable title shall not
24

1 affect payments to persons whose title is marketable, or that
2 portion of a person's interest which is marketable.

3 C. 1. A first purchaser that pays or causes to be paid
4 proceeds from production to the producing owner of such production
5 or, at the direction of the producing owner, pays or causes to be
6 paid royalty proceeds from production to:

7 a. the royalty interest owners legally entitled thereto,

8 or

9 b. the operator of the well,

10 shall not thereafter be liable for such proceeds so paid and shall
11 have thereby discharged its duty to pay those proceeds on such
12 production.

13 2. A working interest owner that pays or causes to be paid
14 royalty proceeds from production to:

15 a. the royalty interest owners legally entitled thereto,

16 or

17 b. the operator of the well,

18 shall not thereafter be liable for such proceeds so paid and shall
19 have thereby discharged its duty to pay those proceeds on such
20 production.

21 3. An operator that pays or causes to be paid royalty proceeds
22 from production, received by it as an operator, to the royalty
23 interest owners legally entitled thereto shall not thereafter be
24

1 liable for such proceeds so paid and shall have thereby discharged
2 its duty to pay those proceeds on such production.

3 4. Where royalty proceeds are paid incorrectly as a result of
4 an error or omission, the party whose error or omission caused the
5 incorrect royalty payments shall be liable for the additional
6 royalty proceeds on such production and all resulting costs or
7 damages incurred by the party making the incorrect payment.

8 D. 1. Except as otherwise provided in paragraph 2 of this
9 subsection, where proceeds from the sale of oil or gas production or
10 some portion of such proceeds are not paid prior to the end of the
11 applicable time periods provided in this section, that portion not
12 timely paid shall earn interest at the rate of ~~twelve percent (12%)~~
13 fifteen percent (15%) per annum ~~to be compounded annually,~~
14 calculated from the end of the month in which such production is
15 sold until the day paid.

16 2. a. Where such proceeds are not paid because the title
17 thereto is not marketable, such proceeds shall earn
18 interest at the rate of ~~(i)~~ six percent (6%) per annum
19 ~~to be compounded annually~~ for time periods prior to
20 November 1, 2018, and ~~(ii)~~ the prime interest rate as
21 reported in the Wall Street Journal for time periods
22 on or after November 1, 2018, calculated from the end
23 of the month in which such production was sold until
24 such time as the title to such interest becomes

1 marketable or the holder has received an acceptable
2 affidavit of death and heirship in conformity with
3 Section 67 of Title 16 of the Oklahoma Statutes, or as
4 set forth in subparagraph b of this paragraph.
5 Marketability of title shall be determined in
6 accordance with the then current title examination
7 standards of the Oklahoma Bar Association. In no case
8 shall the interest applied under this subparagraph
9 exceed six percent (6%) per annum, calculated from the
10 end of the month in which such production is sold
11 until the day paid.

12 b. Where marketability has remained uncured, or the
13 holder has not been provided an acceptable affidavit
14 of death and heirship in conformity with Section 67 of
15 Title 16 of the Oklahoma Statutes, for a period of one
16 hundred twenty (120) days from the date payment is due
17 under this section, any person claiming to own the
18 right to receive proceeds which have not been paid
19 because of unmarketable title may require the holder
20 of such proceeds, or the holder of such proceeds may
21 elect, to interplead the proceeds and all accrued
22 interest into court for a determination of the persons
23 legally entitled thereto. Upon payment into court,
24 the holder of such proceeds shall be relieved of any

1 further liability for the proper payment of such
2 proceeds and interest thereon.

3 c. Subject to paragraph 8 of subsection H of this
4 section, where marketability has remained uncured and
5 a probate is required to cure, such proceeds shall not
6 earn interest pursuant to paragraphs 1 and 2 of this
7 subsection until title is cured and the payor receives
8 a file-stamped copy of the final decree from the
9 probate action.

10 d. Subject to paragraph 8 of subsection H of this
11 section, proceeds in suspense due to the filing of
12 statutory liens, or at the written request of the
13 owner, shall not earn interest pursuant to paragraphs
14 1 and 2 of this subsection from the date of the
15 statutory lien filing or written request.

16 e. Subject to paragraph 8 of subsection H of this
17 section, where such proceeds are not paid because the
18 payment was returned to the payor as undeliverable or
19 the payment check is not cashed by the owner, such
20 proceeds shall not earn interest pursuant to
21 paragraphs 1 and 2 of this subsection after the date
22 the check was mailed. The payor shall maintain
23 records of such mailing dates and copies of any
24 undeliverable envelopes and payment checks. This

provision shall only apply to payment checks mailed to
an address obtained after good faith and reasonable
diligence by the payor. Any payment made by
electronic means, as authorized by subsection G of
this section, that is refused by an owner shall not
earn interest pursuant to paragraphs 1 and 2 of this
subsection after the date the electronic funds
transfer is initiated.

E. 1. Except as provided in paragraph 2 of this subsection, a first purchaser or holder of proceeds who fails to remit proceeds from the sale of oil or gas production to owners legally entitled thereto within the time limitations set forth in paragraph 1 of subsection B of this section shall be liable to such owners for interest as provided in subsection D of this section on that portion of the proceeds not timely paid. When two or more persons fail to remit within such time limitations, liability for such interest shall be shared by those persons holding the proceeds in proportion to the time each person held such proceeds.

2. When royalty proceeds on gas production are remitted pursuant to subsection B of Section 570.4 of this title:

a. A first purchaser that causes such proceeds to be received by the operator or by a producing owner in the well for distribution to the royalty interest owner legally entitled thereto within the first month

1 following the month in which such production was sold
2 shall not be liable for interest on such proceeds.

3 b. A producing owner receiving royalty proceeds that
4 causes such proceeds to be received by the royalty
5 interest owner legally entitled thereto or by the
6 operator for distribution to the royalty interest
7 owner legally entitled thereto, not later than the end
8 of the first month following the month in which
9 proceeds for such production was received by the
10 producing owner from the purchaser, shall not be
11 liable for interest on such proceeds.

12 c. An operator receiving royalty proceeds that causes
13 such proceeds to be received by the royalty interest
14 owner legally entitled thereto, not later than the end
15 of the first month following the month in which
16 proceeds for such production was received by the
17 operator from the purchaser or producing owner, shall
18 not be liable for interest on such proceeds.

19 d. Liability for interest provided in subsection D of
20 this section shall be borne solely by the person, or
21 persons, failing to remit royalty proceeds within the
22 time limitations set forth in subsection B of this
23 section. When two or more persons fail to remit
24 within such time limitations, liability for such

1 interest shall be shared by such persons in proportion
2 to the time each person held such proceeds.

3 F. Nothing in this section shall be construed to impair or
4 amend existing or future contractual rights provided for in gas
5 balancing agreements or other written agreements which expressly
6 provide for the taking, sharing, marketing or balancing of gas or
7 the proceeds therefrom. Any proceeds to be paid pursuant to any
8 such agreement shall not commence to earn interest until the sooner
9 of the time provided in such agreement for the payment of such
10 proceeds or ninety (90) days from the date of the depletion of the
11 well. Nothing herein shall be deemed to alter or limit the payment
12 of royalty proceeds as provided in the Production Revenue Standards
13 Act.

14 G. All payments under the Production Revenue Standards Act to
15 owners or any other person or governmental entity legally entitled
16 to the payment may be made by electronic means including, but not
17 limited to, electronic funds transfer, Automated Clearing House
18 (ACH), direct deposit, wire transfer, or any other similar form of
19 transfer, upon the mutual written consent of the payor and payee.

20 H. 1. Notwithstanding any other provision of this section,
21 where proceeds from the sale of oil or gas production, or any
22 portion thereof, together with any interest accrued thereon pursuant
23 to paragraphs 1 and 2 of subsection D of this section, remain unpaid
24 for a period of thirty-six (36) months after the date such proceeds

1 first became due under subsection B of this section and the payor
2 has had contact with the owner, the payor may remit such proceeds,
3 together with any accrued statutory interest, to the Mineral Owner's
4 Fund established pursuant to Section 553 of this title.

5 2. The Office of the State Treasurer shall establish and
6 administer a separate escrow account for the receipt and holding of
7 proceeds and any interest remitted to the Mineral Owner's Fund
8 pursuant to paragraph 1 of this subsection. Such escrow account
9 shall be maintained exclusively for proceeds and any interest due
10 under paragraphs 1 and 2 of subsection D of this section, and all
11 amounts deposited therein shall be held in trust for the benefit of
12 the owners legally entitled thereto. The escrow account shall be
13 structured in a manner substantially similar to the escrow accounts
14 established pursuant to Section 552 of this title, including
15 comparable reporting, recordkeeping, and maintenance requirements;
16 provided, however, that such escrow account shall be separate and
17 distinct from any escrow accounts established under Section 552 of
18 this title for pooled interests of persons who are unknown or cannot
19 be located. Such escrow account shall be an interest-bearing escrow
20 account maintained by the Office of the State Treasurer at a
21 federally insured bank or savings and loan institution.

22 3. Upon the transfer of an owner's proceeds and any accrued
23 interest to such escrow account, the payor shall send written notice
24 to the last-known address of the owner legally entitled to proceeds

1 under this section informing the owner such proceeds were remitted
2 to the Mineral Owner's Fund pursuant to this subsection and
3 identifying the statutory basis for such remittal.

4 4. A payor may, at its sole discretion, remit proceeds and any
5 accrued interest to the Mineral Owner's Fund pursuant to this
6 subsection as an alternative to filing an action in interpleader
7 under paragraph 2 of subsection D of this section.

8 5. Upon remittance of proceeds and any accrued interest to the
9 Mineral Owner's Fund, the payor shall be relieved of any further
10 liability for any interest and proceeds remitted under this
11 subsection, provided the payor has complied with all applicable
12 requirements of this subsection and section. The owner's source of
13 recovery for the proceeds and accrued interest remitted under this
14 subsection shall be restricted to the Mineral Owner's Fund.

15 6. Following remittance of proceeds and any accrued interest to
16 the escrow account established pursuant to paragraph 2 of this
17 subsection, the payor may continue to make subsequent payments of
18 proceeds and any accrued interest owed to the same owner by
19 directing such payments to the Mineral Owner's Fund for deposit into
20 such escrow account on behalf of the owner.

21 7. Nothing in this subsection shall extinguish or impair the
22 right of any person legally entitled to such proceeds and any
23 interest to claim and receive the same from the escrow account
24 established pursuant to paragraph 2 of this subsection, upon

1 submission of sufficient proof of identity and proof of ownership of
2 the interest to the Office of the State Treasurer. Such proof of
3 identity and ownership shall be the same as provided in Section
4 735:80-7-2 of the Oklahoma Administrative Code.

5 8. Notwithstanding paragraph 1 of this subsection, where
6 proceeds are held pursuant to subparagraphs c, d, or e of paragraph
7 2 of subsection D of this section, such proceeds shall be remitted
8 to the Mineral Owner's Fund within one hundred eighty (180) days
9 after the date such proceeds thereafter become due under subsection
10 B of this section.

11 I. Notwithstanding any other provision of this section, nothing
12 stated herein shall impact a payor's obligation to remit proceeds
13 due under this section pursuant to the Uniform Unclaimed Property
14 Act.

15 SECTION 2. AMENDATORY 52 O.S. 2021, Section 903, is
16 amended to read as follows:

17 Section 903. Except for the right to enforce lien rights under
18 private agreement or under Sections 548 through 549.12 of ~~Title 52~~
19 ~~of the Oklahoma Statutes~~ this title and except where specific
20 remedies are provided by private agreement, and as long as paragraph
21 1 of subsection D of Section 570.10 of ~~Title 52 of the Oklahoma~~
22 ~~Statutes~~ this title provides for an interest rate equal to or
23 greater than ~~twelve percent (12%) compounded annually~~ fifteen
24 percent (15%) per annum, the Production Revenue Standards Act shall

1 provide the exclusive remedy to a person entitled to proceeds from
2 production for failure of a holder to pay the proceeds within the
3 time periods required for payment. The interest amounts set forth
4 in subsection D of Section 570.10 of this title and the remedies set
5 forth in subsection C of Section 570.14 of ~~Title 52 of the Oklahoma~~
6 ~~Statutes~~ this title, with the term "actual damages" as used therein
7 being limited to the proceeds due and the interest as provided in
8 subsection D of Section 570.10 of ~~Title 52 of the Oklahoma Statutes~~
9 this title, are deemed to be adequate remedies for failure to pay
10 proceeds within the time periods required for payment and no other
11 penalty or damages shall be recoverable in any litigation involving
12 a claim for unpaid or underpaid proceeds from production including,
13 without limitation, punitive or exemplary damages or disgorgement
14 damages, unless there shall be a determination by the finder of fact
15 upon clear and convincing evidence that the holder who failed to pay
16 such proceeds did so with the actual, knowing and willful intent:
17 ~~(a)~~ to deceive the person to whom the proceeds were due, or ~~(b)~~ to
18 deprive proceeds from the person the holder knows, or is aware, is
19 legally entitled thereto.

20 SECTION 3. AMENDATORY 60 O.S. 2021, Section 658, is
21 amended to read as follows:

22 Section 658. A. Except as otherwise provided in the Uniform
23 Unclaimed Property Act, all intangible personal property, including
24 income or increment derived from the property, less any lawful

1 charges, that is held, issued, or owing in the ordinary course of a
2 holder's business and has remained unclaimed by the owner for more
3 than five (5) years after becoming payable or distributable is
4 presumed abandoned.

5 B. Holders of presumed abandoned intangible property shall
6 report annually and remit all proceeds accrued to date, including
7 the current balance held by the holder. When and if any part of the
8 proceeds has been held for the statutory abandonment period or
9 longer, the holder must report and remit all interest, additions,
10 and increments accrued to the account of the owner. Any additional
11 amounts accruing to an owner of the same intangible property
12 presumed abandoned previously reported will be reported and remitted
13 on an annual basis, including additional amounts from the "as of
14 date" of the previous report year through the "as of date" of the
15 current report year.

16 C. In no event shall mineral interest proceeds be required to
17 be reported or remitted sooner than six (6) months after the date of
18 first sale from the applicable well. Mineral interest proceeds not
19 remitted pursuant to subsection H of Section 570.10 of Title 52 of
20 the Oklahoma Statutes shall be presumed abandoned at thirty-six (36)
21 months after such proceeds were otherwise due to an owner pursuant
22 to Section 570.10 of Title 52 of the Oklahoma Statutes.

23 D. Property is payable or distributable for the purposes of
24 this act notwithstanding the owner's failure to demand the property

1 or to present an instrument or document required to receive payment
2 of the property.

3 SECTION 4. This act shall become effective November 1, 2026."

4 Passed the Senate the 15th day of April, 2026.

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Presiding Officer of the Senate

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8 Passed the House of Representatives the ____ day of _____,

9 2026.

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Presiding Officer of the House
of Representatives

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1 ENGROSSED HOUSE
2 BILL NO. 1371

By: Boles of the House

3 and

4 Green of the Senate

5
6
7 [oil and gas - payment of proceeds - Production
8 Revenue Standard Act - undeliverable - uncashed -
9 interest - effective date]
10
11

12 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

13 SECTION 5. AMENDATORY 52 O.S. 2021, Section 570.10, is
14 amended to read as follows:

15 Section 570.10. A. All proceeds from the sale of production
16 shall be regarded as separate and distinct from all other funds of
17 any person receiving or holding the same until such time as such
18 proceeds are paid to the owners legally entitled thereto. Any
19 person holding revenue or proceeds from the sale of production shall
20 hold such revenue or proceeds for the benefit of the owners legally
21 entitled thereto. Nothing in this subsection shall create an
22 express trust.

23 B. Except as otherwise provided in this section:
24

1 1. Proceeds from the sale of oil or gas production from an oil
2 or gas well shall be paid to persons legally entitled thereto:

3 a. commencing not later than six (6) months after the
4 date of first sale, and

5 b. thereafter not later than the last day of the second
6 succeeding month after the end of the month within
7 which such production is sold.

8 2. Notwithstanding paragraph 1 of this subsection, royalty
9 proceeds from the sale of gas production from an oil or gas well
10 remitted to the operator pursuant to subsection B of Section 570.4
11 of this title shall be paid to persons legally entitled thereto:

12 a. commencing not later than six (6) months after the
13 date of first sale, and

14 b. thereafter not later than the last day of the third
15 succeeding month after the end of the month within
16 which such production is sold; provided, however, when
17 proceeds are received by the operator in its capacity
18 as a producing owner, the operator may pay the royalty
19 share of such proceeds to the royalty interest owners
20 legally entitled thereto at the same time that it pays
21 the royalty proceeds received from other producing
22 owners for the same production month, but not later
23 than the last day of the third succeeding month after
24

1 the end of the month within which such production was
2 sold.

3 3. a. Proceeds from production may be remitted to the
4 persons entitled to such proceeds annually for the
5 twelve (12) months accumulation of proceeds totaling
6 at least Ten Dollars (\$10.00) but less than One
7 Hundred Dollars (\$100.00). Amounts less than Ten
8 Dollars (\$10.00) may be held but shall be remitted
9 when production ceases or by the payor upon
10 relinquishment of payment responsibility.

11 b. Proceeds totaling less than One Hundred Dollars
12 (\$100.00) but more than Twenty-five Dollars (\$25.00)
13 shall be remitted monthly if requested by the person
14 entitled to the proceeds. Amounts less than Ten
15 Dollars (\$10.00) shall be remitted annually if
16 requested by the person entitled to the proceeds.

17 c. Before proceeds greater than Twenty-five Dollars
18 (\$25.00) may be accumulated, payor shall provide
19 notice to the person owning interest as defined in
20 Section 570.2 of this title, entitled to such proceeds
21 that there is an option to be paid monthly for
22 proceeds greater than Twenty-five Dollars (\$25.00).
23 Such notice to the person shall also provide
24 directions for requesting monthly payment, and

1 constitutes notice to all heirs, successors,
2 representatives, and assigns of the person.

3 4. Any delay in determining the persons legally entitled to
4 proceeds from production caused by unmarketable title shall not
5 affect payments to persons whose title is marketable, or that
6 portion of a person's interest which is marketable.

7 C. 1. A first purchaser that pays or causes to be paid
8 proceeds from production to the producing owner of such production
9 or, at the direction of the producing owner, pays or causes to be
10 paid royalty proceeds from production to:

11 a. the royalty interest owners legally entitled thereto,

12 or

13 b. the operator of the well,

14 shall not thereafter be liable for such proceeds so paid and shall
15 have thereby discharged its duty to pay those proceeds on such
16 production.

17 2. A working interest owner that pays or causes to be paid
18 royalty proceeds from production to:

19 a. the royalty interest owners legally entitled thereto,

20 or

21 b. the operator of the well,

22 shall not thereafter be liable for such proceeds so paid and
23 shall have thereby discharged its duty to pay those proceeds on such
24 production.

1 3. An operator that pays or causes to be paid royalty proceeds
2 from production, received by it as operator, to the royalty interest
3 owners legally entitled thereto shall not thereafter be liable for
4 such proceeds so paid and shall have thereby discharged its duty to
5 pay those proceeds on such production.

6 4. Where royalty proceeds are paid incorrectly as a result of
7 an error or omission, the party whose error or omission caused the
8 incorrect royalty payments shall be liable for the additional
9 royalty proceeds on such production and all resulting costs or
10 damages incurred by the party making the incorrect payment.

11 D. 1. Except as otherwise provided in paragraph 2 of this
12 subsection, where proceeds from the sale of oil or gas production or
13 some portion of such proceeds are not paid prior to the end of the
14 applicable time periods provided in this section, that portion not
15 timely paid shall earn interest at the rate of twelve percent (12%)
16 per annum to be compounded annually, calculated from the end of the
17 month in which such production is sold until the day paid.

18 2. a. Where such proceeds are not paid because the title
19 thereto is not marketable, such proceeds shall earn
20 interest at the rate of (i) six percent (6%) per annum
21 to be compounded annually for time periods prior to
22 November 1, 2018, and (ii) the prime interest rate as
23 reported in the Wall Street Journal for time periods
24 on or after November 1, 2018, calculated from the end

1 of the month in which such production was sold until
2 such time as the title to such interest becomes
3 marketable or the holder has received an acceptable
4 affidavit of death and heirship in conformity with
5 Section 67 of Title 16 of the Oklahoma Statutes, or as
6 set forth in subparagraph b of this paragraph.

7 Marketability of title shall be determined in
8 accordance with the then current title examination
9 standards of the Oklahoma Bar Association.

10 b. Where marketability has remained uncured, or the
11 holder has not been provided an acceptable affidavit
12 of death and heirship in conformity with Section 67 of
13 Title 16 of the Oklahoma Statutes, for a period of one
14 hundred twenty (120) days from the date payment is due
15 under this section, any person claiming to own the
16 right to receive proceeds which have not been paid
17 because of unmarketable title may require the holder
18 of such proceeds, or the holder of such proceeds may
19 elect, to interplead the proceeds and all accrued
20 interest into court for a determination of the persons
21 legally entitled thereto. Upon payment into court the
22 holder of such proceeds shall be relieved of any
23 further liability for the proper payment of such
24 proceeds and interest thereon.

1 c. Where such proceeds are not paid because the physical
2 payment check was returned to the payor operator as
3 undeliverable or the physical payment check is never
4 cashed by the royalty owner, such proceeds shall not
5 earn interest after the date the physical payment
6 check was mailed. The payor operator shall maintain
7 records of such mailing dates and copies of any
8 undeliverable envelopes and physical payment checks.
9 This provision shall only apply to physical payment
10 checks mailed to an address provided by such royalty
11 owner to the payor operator.

12 E. 1. Except as provided in paragraph 2 of this subsection, a
13 first purchaser or holder of proceeds who fails to remit proceeds
14 from the sale of oil or gas production to owners legally entitled
15 thereto within the time limitations set forth in paragraph 1 of
16 subsection B of this section shall be liable to such owners for
17 interest as provided in subsection D of this section on that portion
18 of the proceeds not timely paid. When two or more persons fail to
19 remit within such time limitations, liability for such interest
20 shall be shared by those persons holding the proceeds in proportion
21 to the time each person held such proceeds.

22 2. When royalty proceeds on gas production are remitted
23 pursuant to subsection B of Section 570.4 of this title:
24

- 1 a. A first purchaser that causes such proceeds to be
2 received by the operator or by a producing owner in
3 the well for distribution to the royalty interest
4 owner legally entitled thereto within the first month
5 following the month in which such production was sold
6 shall not be liable for interest on such proceeds.
- 7 b. A producing owner receiving royalty proceeds that
8 causes such proceeds to be received by the royalty
9 interest owner legally entitled thereto or by the
10 operator for distribution to the royalty interest
11 owner legally entitled thereto not later than the end
12 of the first month following the month in which
13 proceeds for such production was received by the
14 producing owner from the purchaser shall not be liable
15 for interest on such proceeds.
- 16 c. An operator receiving royalty proceeds that causes
17 such proceeds to be received by the royalty interest
18 owner legally entitled thereto, not later than the end
19 of the first month following the month in which
20 proceeds for such production was received by the
21 operator from the purchaser or producing owner, shall
22 not be liable for interest on such proceeds.
- 23 d. Liability for interest provided in subsection D of
24 this section shall be borne solely by the person, or

1 persons, failing to remit royalty proceeds within the
2 time limitations set forth in subsection B of this
3 section. When two or more persons fail to remit
4 within such time limitations, liability for such
5 interest shall be shared by such persons in proportion
6 to the time each person held such proceeds.

7 F. Nothing in this section shall be construed to impair or
8 amend existing or future contractual rights provided for in gas
9 balancing agreements or other written agreements which expressly
10 provide for the taking, sharing, marketing or balancing of gas or
11 the proceeds therefrom. Any proceeds to be paid pursuant to any
12 such agreement shall not commence to earn interest until the sooner
13 of the time provided in such agreement for the payment of such
14 proceeds or ninety (90) days from the date of the depletion of the
15 well. Nothing herein shall be deemed to alter or limit the payment
16 of royalty proceeds as provided in the Production Revenue Standards
17 Act.

18 G. All payments under the Production Revenue Standards Act to
19 owners or any other person or governmental entity legally entitled
20 to the payment may be made by electronic means including but not
21 limited to electronic funds transfer, Automated Clearing House
22 (ACH), direct deposit, wire transfer, or any other similar form of
23 transfer, upon the mutual written consent of the payor and payee.

24 SECTION 6. This act shall become effective November 1, 2025.

1 Passed the House of Representatives the 26th day of March, 2025.

2
3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the _____ day of _____, 2025.

7
8 _____
9 Presiding Officer of the Senate